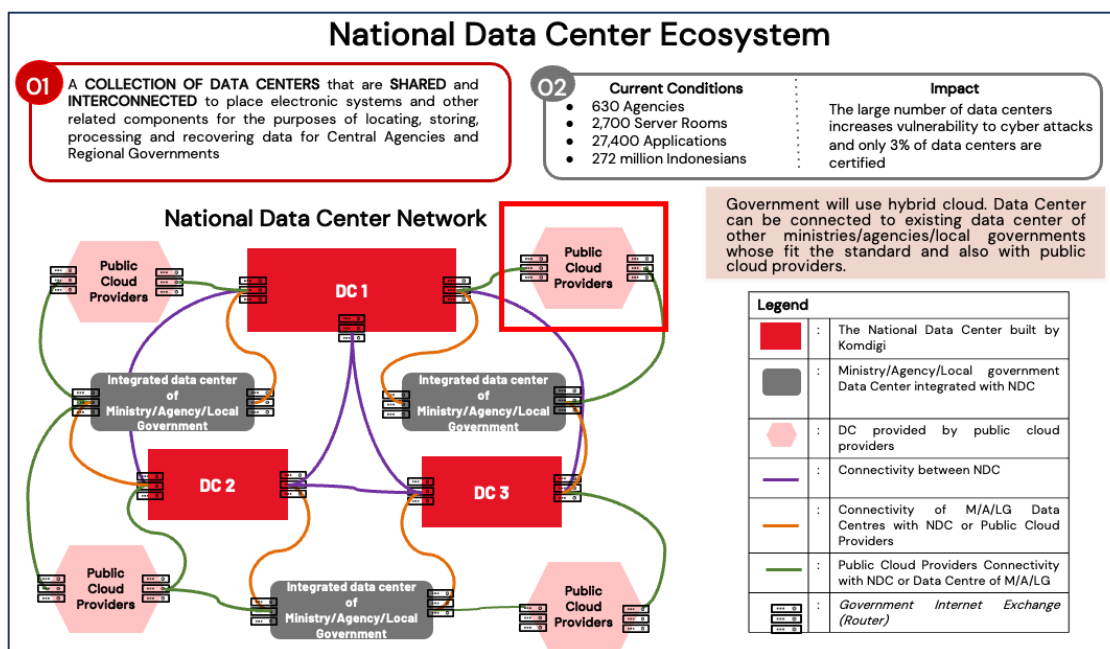


To : Ministry of Communications and Digital Affairs (Komdigi) Leadership
 From : Special Staff of Strategic Technologies and Multilateral Coordination
 Issue : Draft Roadmap for the Inter-agency Collaboration for National Data Center Policy

1. Status Quo Policies

Since 2024's temporary national data center ransomware case, [which paralyzed hundreds of government services](#), our ministry has been working tirelessly to reduce the gaps of public service delivery to ensure catastrophe of similar scale does not repeat. To that end, we have proceeded with several initiatives to fill said gaps, **mainly on four areas**. **Firstly, we have entered into force Ministerial Decision 519/2024** which elaborated the pressing need for better national data center governance in the form of an ecosystem. This ecosystem was and is envisioned to maximize the efficiency of (1) constructed, (2) existing, and (3) third party data centers. Part of the reason is to make sure state capability in meeting the demands of public data storage and processing can tap into the best types of technologies available which more often than not involves third party data centers (see **Picture 1**).



Picture 1. National Data Center Ecosystem Schematic (red: constructed, grey: existing, pink: third party)

Secondly, through [Presidential Regulation 174/2024](#), we introduced the Directorate General of Digital Government Technology (i.e., *Echelon 1/Minister-1 level*) to empower technical teams in more directly escalating the issues of digital public services especially public data center governance, as the previous Directorate of Government Informatics Application Services had longer coordination chain to develop response with ministry leadership (i.e., *Echelon 2/Minister-2 level*). The previous Directorate was often plagued with months-long bottleneck due to their lower ranking intra-institutional position and giving direct access to minister's office in the new organization cuts bureaucracy significantly (see **Table 1** for comparison).

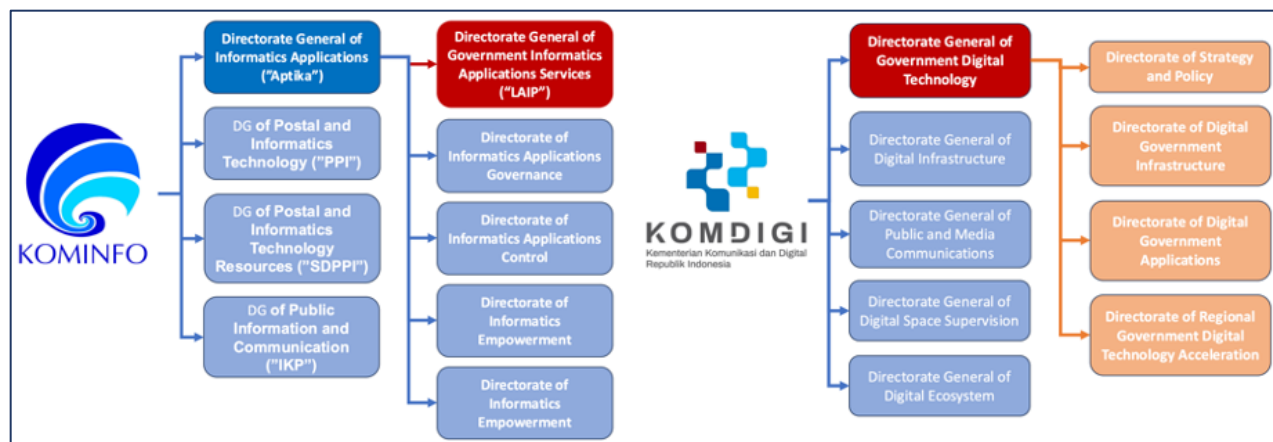


Table 1. Comparison of Directorate General Structures (left: old, right: new)

Thirdly, [Presidential Regulation 83/2025](#) is in force to increase inter-agency capability by establishing the Committee for the Acceleration of Government Digital Transformation (CAGDT) which streamlined coordination with the Bureaucratic Reform ministry, the Cybersecurity Agency, as well as other sectoral leads. This gives a more permanent basis for cross-sectoral coordination in development of digital public service delivery. Fourth, we are executing [Ministerial Regulation 5/2025](#) which, among other things, establishes the government data storage classification to specify the scope for each of the three types of data centers in the aforementioned national data center ecosystem. Current electronic data classification is divided into (1) open, (2) restricted, and (3) closed categories; most third parties will be able to safely help us in the open category due to national security reasons as well as being the biggest total storage need of any category.

2. *Risks and Uncertainties*

Several risks are identified with the implementation of said initiatives. Risk here refers to possible issue that are more quantifiable, whereas uncertainties are problems which are harder to benchmark. The first risk pertains to growing dependence on Chinese digital infrastructure hardware, specifically in subsea cables which have been identified by the Center for Strategic International Studies Indonesia to be predominantly Chinese engineered. Second, is the growing market power of American data center hyperscalers: Amazon Web Services, Microsoft Azure, and Google Cloud. Both of these issues are more easily measurable and manageable as it pertains to market size, but are harder to navigate when there are too many agencies steering them in different directions. Failure to hedge between Chinese and American technology use will render the current National Data Center Ecosystem as too dependent on foreign tech.

For uncertainties, the first one pertains to absence of clear responsibility and capacity. Even though Komdigi is the digital sector lead in CAGDT, we have no mandate to develop technical capacity to directly operate data centers in the ecosystem. Efforts to build such an agency through [INA Digital](#) to mimic the Singaporean GovTech Agency have so far been futile. State owned enterprises are also not a viable option to seek technical capacity: they are still under the burden of [restructuring efforts](#) under the State-owned Enterprise (SOE) super coordinating body Danantara. Secondly, there is no sensitivity to geopolitical considerations in public sector

technology governance. Which leads to the fragmentation of stakeholders such as in the abovementioned subsea cable governance.

3. Geopolitical Disruptions

Recent developments in international relations have come to our attention. **Firstly, was our negotiations on the Agreement on Reciprocal Tariff (ART) with the United States**, which was deemed null and void by the US Supreme Court. No matter the next steps we choose, appeasement or renegotiation for example, we still need more technical and coordination capacity to keep our free and active foreign policy principle. Secondly, **the regional competition for Southeast Asian data center hub has quite changed with Thailand pausing the construction of 166 data centers**. This offers us more potential to compete as Singapore data center construction is still under tight governance and Malaysia is increasing regulatory restrictions. However, we should still keep in mind to focus efforts in Batam's potential to catch up with other potential data center hubs as it is best positioned to connect to the rest of Southeast Asia, especially in light of recent AI/data center investment by IOH, Nvidia, and Nokia.

4. Recommendations

These updates have convinced us to form more durable institutions to handle technical side of reviewing and operationalizing the Ecosystem. Particularly, **to first multilateralize by tapping to technical resources of multilateral institutions** to boost domestic capacity building specifically to equip the government to manage the data center ecosystem, whether it is in SOE or government capacity. In particular, the Asian Development Bank has expressed interest to increase financing in ASEAN. Additionally, the World Bank has also been helping with the digital ID initiative with the Ministry of Home Affairs ('Kemendagri'). Leveraging the capacity of both multilateral development bank should be able to be extended in terms of data center governance as well as de-risking possible investor concerns when they want to help expand the Indonesian data center market through the third-party provider scheme under the ecosystem. We should instruct our internal Center for International Institutions to prepare engagements.

Secondly, the CAGDT should add Ministry of Trade and Ministry of Foreign Affairs to their list of committee members to make sure that trade and foreign policies are synchronized in digital technology policy. Not just to fully materialize the benefit of the data center ecosystem, but to also reduce risks of dependence in especially Chinese and American counterparts and in boosting Indonesian digital sector credibility in the region. One method to do this is possibly by adjusting their involvement in the currently in-progress draft presidential regulation on digital government. We should instruct the Directorate General for Digital Government Technologies to convey this concept to the CAGDT.

Third, we should regionalize our efforts by opening up discussions to possibly **leverage the officialization of ASEAN's Digital Economy Framework Agreement (DEFA) in November** to unlock greater digital sector diversification and risk reduction to the region. The third recommendation should be able to be optimized after the first and second recommendations have been running efficiently as the multilateral and intra-agency backbone for greater regional integration. We should communicate this strategy to the Coordinating Minister for Economic Affairs to converge our efforts at ASEAN level.